EXECUTIVE SUMMARY

1. Introduction

The Municipality of Gattaran was founded on May 20, 1963 during the Spanish Expedition to the Philippines through the leadership of Juan De Salcedo. It was discovered as tribal community together with the Municipality of Buguey. And in 1877, the virtue of Diocesan Order from the Bishop of Nueva Segovia, it was declared as the seat of civil government covering Dummun and Nassiping as the attached community by the recommendation of Fray Francisco Suejos, O.P. It has 50 barangays and is classified as 1st class municipality with a land area of 70,750.

Scope of Audit

We conducted financial, compliance and value-for-money audit on the accounts and operations of the Municipality of Gattaran covering the period from January 1 to December 31, 2016. The audit consisted of review of local operating procedures, processes and practices being done by the agency, inspection of the Municipality's programs and projects/activities, interview with concerned officials/employees, verification, reconciliation and analysis of financial accounts and other audit procedures and techniques considered necessary under the circumstances.

2. Financial Highlights

The highlights of the financial condition, results of operation, appropriations, allotments and obligations of the Municipality of Gattaran, Cagayan for the year ended December 31, 2016, with comparative figures for CY 2015, are as follows:

			Increase
Particulars	**2016**	**2015**	**(Decrease)**
Financial Condition			
Total Assets	₱ 318,245,413.68	231,924,010.48	₱ 86,321,403.20
Total Liabilities	₱ 60,813,108.33	33,843,300.97	₱ 26,969,807.36
Total Government Equity	₱ 257,432,305.35	198,080,709.51	₱ 59,351,595.84
Results of Operations			
Total Income (Includes Total Operating Income and Subsidy from Other Funds)	₱ 207,637,376.31	187,687,113.11	₱ 19,950,263.20
Total Expenses (Includes Total Operating Expenses, Subsidy to NGAs, Subsidy to Other Funds and Donations	₱ 163,625,537.91	139,027,038.47	₱24,598,499.44

b) Appropriations, Allotments and Obligations:			
Appropriations-Current	₱ 213,558,000.00	173,316,199.00	₱ 40,241,801.00
Appropriations-Continuing	₱ 9,562,132.43	7,283,462.89	₱ 2,278,669.54
Allotments - Current	₱ 213,558,000.00	27,655,343.89	₱ 185,902,656.11
Allotments -Continuing	₱ 9,562,132.43	330,425.30	₱ 9,231,707.13
Obligations - Current	₱ 168,374,606.90	147,194,022.64	₱ 21,180,584.26
Obligations -Continuing	₱ 1,277,913.50	6 ,953,037.59	₱ (5,675,124.09)
	2016	**2015**	**Inc/(Dec.)**
Funds Received from Other Agencies			
NGA's	₱ 2,407,599.90	19,621,650.00	(17,214,050.10)
LGUs	0.00	2,000,000.00	(2,000,000.00)
NGO/Pos	0.00	0.00	0.00
Others(PCF)	0.00	1,296,750.00	(1,296,750.00)
Total	**₱ 2,407,599.90**	**₱ 22,918,400.00**	**(20,510,800.10)**
Funds Transferred to Other Agencies			
NGA's	₱ 0.00	₱ 0.00	₱ 0.00
LGUs	0.00	0.00	0.00
NGO/Pos	0.00	0.00	0.00
Others(PCF)	0.00	0.00	0.00
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a qualified opinion on the financial statements due to effect of the missing Property, Plant and Equipment (PPE) with a total value of ₱12,177,584.70 which are still recorded in the books of accounts and included in the Report of Physical Count of Property, Plant and Equipment as of December 31, 2016.

4. Summary of Significant Observations and Recommendations

1. **The missing properties in the total amount of ₱12,177,584.70 are still included in the Report of Physical Count of PPE as of December 31, 2016 and recorded in the books of accounts thus, affecting the reliability of the Property, Plant and Equipment accounts as of December 31, 2016.**

   We recommended management instruct the General Service Office to verify from property records the person responsible or end users in order to account

the missing properties. Otherwise, request for relief from accountability should be filed by the General Service Office with the Auditor in accordance with existing regulations.

2. **Advances to officers and employees (1-03-05-040) balance totaling to ₱754,223.71 remained unliquidated at year-end because management did not strictly monitor the submission of liquidation documents within the prescribed period by the concerned accountable officers and employees as provided under Section 89 of Presidential Decree No. 1445 and COA Circular No. 97-002 dated February 10, 1997. The non submission of liquidation documents resulted in the understatement of expenses and overstatement of the assets at year end.**

   We recommended that management require the accountant to send demand letters to all persons concerned. If no liquidation reports are submitted within the prescribed period, cause the withholding of their salaries pursuant to paragraph 9.2 and 9.3 of COA Circular No. 97-002 and the institution of necessary sanction as provided under COA Circular 2012-004**.**

3. **The overtime services rendered by municipal officials and employees amounting to ₱634,500.76 was charged against Other Maintenance and Operating Expenses account instead to Personal Services due to absence of appropriations provided in Overtime and Night Pay which is not keeping with Section 4 of PD 1445, and Joint CSC and DBM Circular No. 1 s.2015 dated November 25, 2015, respectively.**

   We recommended management henceforth comply on the provisions of Joint Circular No 1 s. 2015 dated November 25, 2015 in the payment of overtime pay. We recommend further that management appropriate funds for overtime pay to ensure proper disbursements of funds pursuant to Section 4 of PD 1445.

4. **Reimbursement of fuel consumption in the total amount of ₱275,396.49 were not supported with duly accomplished Driver's Trip Tickets thereby casting doubt on the validity and regularity of the expenses incurred.**

   We recommended that the accounting office should not allow reimbursement/payment of fuel consumption without complete supporting documents pursuant to Section 4(6) of PD 1445.

   We require management to instruct the accounting to submit the required supporting documents on the reimbursements made in the total amount of ₱275,396.49 to ensure the validity of the expenses incurred.

5. Summary of Total Suspensions/Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Current Year	0.00	0.00	0.00	0.00	0.00
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**
Disallowances					
Prior Years	₱280,918.71	₱0.00	₱0.00	₱280,918.71	₱ 0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	**₱280,918.71**	**₱0.00**	**₱0.00**	**₱280,918.71**	**₱ 0.00**
Charges					
Prior Years	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00	₱ 0.00
Current Years	0.00	0.00	0.00	0.00	0.00
Total	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**	**₱ 0.00**

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 14 audit recommendations for Calendar Year 2015, four were fully implemented, three were partially implemented and seven were not implemented.